Jersey City: A Renaissance Story?

The result of rapid nation-leading growth, increased regional housing demand, and budget mismanagement

By Matt Carmosino May 9, 2026

Jersey City Waterfront. Photo credit: Getty Images/iStockPhoto

Jersey City was for a majority of its history, a major industrial and logistics hub. National rail lines ended here; ships took up dock space to move products around the bustling New York Harbor and global market. Today, that industrial presence has all but disappeared to make way for the expanding service economy of America: waterfront office towers, studio and 1-2-bedroom apartments in high-density skyscrapers, name-brand grocery stores and Pilates studios. The growth of Jersey City during this ongoing transformation has been nation-leading. In a high-cost-of-living NYC metropolitan area, one might expect Jersey City to be reaping the benefits. But in this case, a rising tide does not lift all boats. The City faces a $250 million budget deficit for 2026 while the affordability crisis persists.

So, how does Jersey City experience this transformative growth that many cities are desperate for, yet end up in a fiscal and affordability crisis?

Jersey City's budget crisis stems from three points: housing built for the market rather than for legacy residents, budget mismanagement, and a city that let this promising growth go unchecked, serving developers rather than the public good of Jersey City.

On February 4, 2026, the newly inaugurated mayor of Jersey City, James Solomon released a report disclosing a $250 million deficit, about 28% of the city's annual operating budget. What makes this budget crisis so head-scratching is that it occurred in "sunny day" economic conditions: a growing local economy, surging development contributing to an increased tax base. These are arguably some of the most favorable economic conditions imaginable across the country, yet the budget is in shambles and affordability remains an issue.

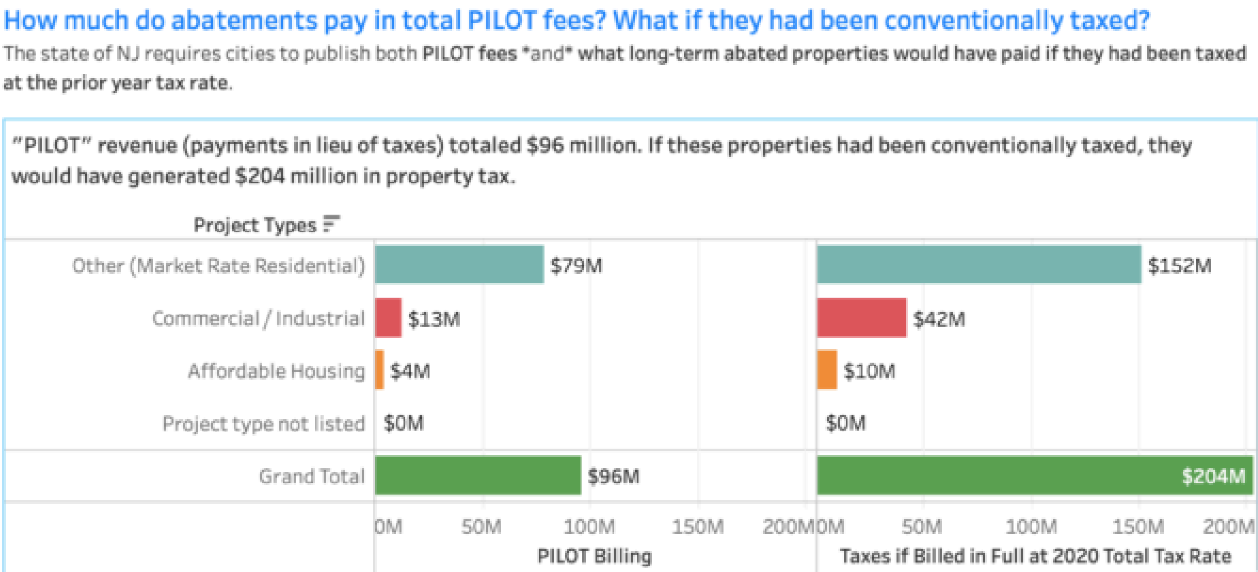
Jersey City took on the region's housing burden, building at rates unmatched anywhere in the Northeast. But the supply created served regional demand for luxury rentals, not the needs of existing residents and working families. Building a lot is not the same as building right.

According to a report by the Regional Planning Association, Between 2010 and 2022, Jersey City added around 26,000 units to its housing stock, more than triple the per capita production observed in the larger New York Metropolitan Area. On paper, this reads as great news. But the report reveals that market rent has grown by 50% since 2015 and 39% of all households are cost-burdened. Among low-income households, the percentage cost-burdened jumps up to 60%. An analysis of Jersey City's housing stock reveals that the majority of units (2 in 3) are 1- to 2-bedroom or smaller. These are units that attract transient, working young professionals rather than serving current families and ones with aspirations of establishing their roots in this city.

During the Steven Fulop mayoral administration 1,000+ city properties were sold to private parties, often luxury developers that built with no meaningful public benefits attached. The money generated from selling these valuable city properties was used to plug budget holes rather than re-investment into legacy residents' affordable housing needs. This pattern of budget mismanagement recurred with federal COVID-19 relief funds. 70% of funds went towards a one-time municipal tax cut in a re-election year instead of following suit with cities like Cleveland, Detroit, and Austin which used their funds for neighborhood revitalization, affordable housing, and new park construction.

There was also a more structural problem in the budget collapse: tax abatements. When a city grants a tax abatement, the developer/property owner stops paying conventional property taxes and instead is granted a fixed annual charge called a Payment in Lieu of Taxes (PILOT). This PILOT program has been a hotly debated topic in Jersey City Government, and has spurred redevelopment in the area for years.

The problem that lies with PILOTs is that, unlike regular taxes which flow to the city, county, and school district, PILOTs flow only to the city. This fact made the program an attractive solution to an administration that needed revenue to control. Now, we see that this arrangement carried a hidden cost: abated properties, if taxed conventionally at current market values, would generate around double what they pay under PILOT agreements.



PILOT fees vs. Conventional Tax, Photo credit: Jersey City Times, Brigid D'Souza, 2021

The development boom gave the former administration easy one-time revenues: land to sell, PILOTs to collect, and surpluses to take advantage of. All this masked a growing budget deficit underneath. Former Mayor Steven Fulop, widely understood to be positioning for another gubernatorial run, used these tools to defer financial problems to next in line. Today, we see a $250 million bill come due.

The question now is whether Jersey City's new leadership will break the cycle or repeat it. The City's Master Plan committed to, "creating communities that are diverse, liveable, and accessible". A commitment that seemed to be forgotten in the last decade of development. However, a promising executive order came down from Solomon, instructing an audit of all 100+ PILOT agreements in the city. A meaningful first step towards ensuring that developers who benefited from years of abatements begin paying their fair share.

Jersey City's budget crisis is a cautionary tale about what happens when a city lets growth happen to it rather than for it. It is important to consider the residents and Jersey City's fiscal health. This new administration has the chance to change course, but only if it carefully studies the past and resists the same political pressures that produced the crisis in the first place.

No single city can solve a regional affordability crisis and municipal budgeting is genuinely complex. But these realities do not excuse leadership that, given those constraints, chose to sell land to luxury developers and produce housing misaligned with community members' affordable housing needs.

During his tenure, Mayor Fulop labeled Jersey City as "one of the greatest renaissance stories in the entire country". Which Renaissance story includes the production of 26,000 new housing units yet incurs a $250 million budget deficit? This Renaissance story reads more like a Shakespearean Tragedy.

The future of Jersey City depends on the current and future leadership learning from history and facilitating sustainable growth for the City and its residents, both short-term commuters and legacy residents.

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